THE UNITED REPUBLIC OF TANZANIA

REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT

KIBAHA PRIVATE SECONDARY SCHOOL ASSOCIATION (KIPSSA)

FORM FOUR PRE-KIPSSA EXAMINATION

062 BOOK KEEPING

Time: 3 Hours **2025**

Instructions

1. This paper consists of sections A, B and C with a total of **nine (9)** questions.
2. Answer **all** questions in **all** sections.
3. Non-programmable calculators may be used.
4. Cellular phones and any unauthorized materials are not allowed in the examination room.
5. Write your **Examination Number** on every page of your answer booklet(s).

SECTION A (15 MARKS)

Answer all question in this section

1. For each of the item choose the correct answer from the given alternatives and write its letter in the space provided

   (i) ABC Company had closing debtors of Sh 65,220 sales Sh50,000 and receipts from debtors of Sh 44,000, What is the company opening balance?

   A. Sh 5,220
   B. Sh 71,220
   C. Sh 60,220
   D. Sh 109.220

   (ii) How much will be the amount of opening balance if credit sales were TZS 740,000, receipt from debtors TZS 1,000,000, interest on overdue TZS 100,000, bad debts TZS 40,000, discount allowed TZS 100,000 and closing balance TZS 200,000?

   A. TZS 50,000
   B. TZS 620,000

C. TZS 660,000

D. TZS 500,000

E. TZS 540,000

(iii) The business entity paid salaries of Tsh 1000,000 Then payment was recorded in the books as follows Debit cash Tsh 1000,000 and credit Salaries Tsh 1000,000 Which type of error involved in this transaction

A. Compensating error

B. Complete reversal of entries

C. Error of original entry

D. Error of principle

(iv) What is the accounting entries for the expenses incurred by the Consignee

A. Debit Bank account, Credit Consignee account

B. Debit Consignee account, Credit Consignment account

C. Debit consignor account, Credit Bank account

D. Debit Consignment account, Credit Consignee account

(v) The maximum amount of expenditure approved by the parliament for various services to be used by ministries during a given financial year

A. Consolidated fund

B. Exchequer account

C. Special fund

D. Ambit of vote

(vi) Manji trades decided to write off some of debtors from his books of account. Which reasons will be considered by Maji during the process of writing off

A. Death and unsound mind

B. Bankrupt and raising Capital

C. Death and increase customers

D. Unsound mind and to retain customers

(vii) Peter bought 200 bedsheets from Moshi traders for Tsh 7500 each, Moshi traders offered trade discount and cash discount of 10% and 5%respectively, What is the amount to be paid Peter?

A. Tsh 1,275,000

B. Tsh 217,500

C. Tsh1,282,500

D. Tsh 1,350,000

(viii) Which item would not be considered in the process of preparing receipts and payments account for the religious organizations

A. Cash paid during the year

B. Receipts from sale of fixed asset

C. Surplus

D. Bank balance

(ix) Which of the following set form the prime cost when preparing manufacturing account

A. Direct labour, royalties and direct materials

B. Direct labour, depreciation of asset, and Indirect materials

C. Indirect labour, Indirect materials and direct expenses

D. Indirect materials, direct labour and direct expenses

(x) As a competent student in book keeping, identify the set for journals.

A. Cash book, General journal, Purchases ledger

B. Purchases day book, sales return day book and sales ledger

C. Sales day book, cash book, purchases journal

D. Cash book, general ledger, purchases ledger

E. Sales ledger, purchases ledger and general ledger

2. Match the descriptions of the types of audits in column A with their corresponding names in column B by writing the letter of the correct response beside the item number in the answer booklet(s) provided.

COLUMN A	COLUMN B
(i) The excess cash from the petty cash expenditure of the stated period (ii) When the petty cash planned to be used for a certain period is less than petty expenditure needed for the period (iii) The act of refunding money paid out in a period so that the float reach to its agreed level (iv) Amount of money at which a petty cash starts with for each period (v) Used to record small expenditures made out of the petty cash fund	A. Cash float B. Petty cash book C. Cash overage D. Imprest system E. Cash shortage F. Petty cash expenditure

SECTION C (40 MARKS)

Answer all questions in this section

3. Briefly explain five accounting guidelines or assumptions used in the preparation of books of account

4. Draw up a bank reconciliation statement, after writing the cash book up to date, ascertaining the balance on the bank statement from the following as of 31st March 2019:

   - ✓ Cash at the bank as per the bank column of the cash book (Dr) TZS 27,400
   - ✓ Banking made but not yet entered in the bank statement TZS 4,100
   - ✓ Bank charges on bank statement but not yet in cash book TZS 320
   - ✓ Unpresented cheque: (Mr. Simba TZS 1,310)
   - ✓ Standing order to Mr Kiboko entered on the bank statement but not in cash book TZS 980
   - ✓ Credit transfer from Machinga group entered on bank statement, but not yet in cash book TZS 2010

5. Draw up a profit and loss appropriation statement and the partner's current account for the year ending 31st December 2005 from the following information:

a) Net profit TZS 184,800

b) Interest to be charged on capitals

i. Milembe TZS 3,600

ii. Madete TZS 2,700

iii. Minza TZS 2,100

c) Interest to be charged on drawings:

i. Milembe TZS 1200

ii. Madete TZS 900

iii. Minza TZS 500

d) Salary to be credited:

i. Madete TZS 22,000

ii. Minza TZS 28,000

e) Profit to be shared:

i. Milembe TZS 55%

ii. Madete TZS 25%

iii. Minza TZS 20%

f) Current accounts:

i. Milembe TZS 18,000 Credit

ii. Madete TZS 8,000 Credit

iii. Minza TZS 6,000 Credit

g) Drawings:

i. Milembe TZS 27,000

ii. Madete TZS 23,000

iii. Minza TZS 17,000

6. The trial balance of Masaki and son ltd as at December 2020 failed to balance, the payment side exceeds the receipts side by Tsh 400,000 This amount was placed to a suspense account after careful investigation the following were discovered

   (i) The payment made to Jason Sh 200,000 was entered to Jaso account as Sh 20,000

   (ii) Commission income account Sh 48,600 was posted to the debit side of commission expenses account as 64,800 in error

   (iii) An amount received from Mathew Sh 290,000 was posted to Mateo as 308,000

   (iv) Payment made to Anna Sh 536000 was posted to Annie personal account in error as Sh 521,600 although it was correctly posted in the cash book

   (v) The amount paid to Johnson Sh 301,000 was posted to the cash book only

   Required

   Show the journal entries to correct the above errors and Suspense account, Narration are not required.

SECTION C (45 MARKS)

7. 1000 boxes of Azam embe consigned by Amani of Mwanza to Jane of Nairobi at an invoice cost of Tsh 150 each, Amani paid freight Tsh 10,000and Insurance Tsh 1500, During the voyage 100 boxes were totally damaged by fire and had to be thrown overboard, Jane took delivery of the remaining boxes and paid Tsh 14,400as custom duty, Jane sent the account sales showing that 800 boxes had been sold at Sh 220 each, expenses incurred by Jane are selling expenses and advertisement was Tsh 200 and 1800 respectively. Jane was entitled to a commission 5% on sales

   Required

   Show the following account

   a) Goods sent on consignment account

   b) Consignment account

   c) Consignee account

   d) Bank account

8. The following is the receipts and payment accounts of a charitable hospital for the year ending 31st March 2018.

RECEIPTS	TZS	PAYMENTS	TZS
Balance b/f:			
Cash in hand …….	5,000	Medicines ……	150,000
Cash at bank ……	30,000	Honorarium to doctors ……	50,000
Subscriptions ……	250,000	Salaries ……	137,500
Donations …….	72,500	Sundry expenses ……..	2,500
Interest for a full year on investment		Equipment purchased ……..	75,000
@ 7% per annum …….	35,000	Charity show expenses ……	
5,000 Charity show receipts ……...		50,000 Balance c/f:	
		Cash in hand …….	2,500
		Cash at bank ……. ….	20,000
	442,500		442,500

Additional information	On 31/03/2017	On 31/03/2018
Subscription outstanding ……	2,500	5,000
Subscription received in advance ..	5,000	2,500
Stock of medicines	50,000	75,000
Amount due to suppliers of medicines	40,000	60,000
Value of equipment	105,000	150,000
Value of buildings	200	190,000

Required:

Prepare income and expenditure statement for the year ended 31st March 2018 and the statement of financial positions as of that date.

9. Dotto has kept records of his business transactions in a single-entry form but he did not realize that he had to record cash drawings. His bank account for the year 2018 was as follows:

Details	Amount	Details	Amount
Balance b/d	920,000	Cash withdrawn	12,600,000
Receipts from debtors	94,200,000	Trade creditors	63,400,000
Loan from bank	2,500,000	Rent	3,200,000
		Insurance	1,900,000
		Drawings	11,400,000
		Sundry expenses	820,000
		Balance c/d	4,300,000
	97,620,000		**97,620,000**
Balance b/d	4,300,000		

Records of cash paid were:

Sundry expenses	TZS	180,000
Trade creditors	TZS	1,310,000
Cash sales amounted to	TZS	1,540,000

The following information is also available:

	31/12/2017	31/12/2018
	(TZS)	**(TZS)**
Cash in hand	194,000	272,000
Trade creditors	7,300,000	8,100,000
Debtors	9,200,000	11,400,000
Rent owing	-	360,000
Insurance paid in advance	340,000	400,000

Motor van (at valuation)	5,500,000	4,600,000
Stock	24,200,000	27,100,000

You are required to prepare an income statement for the year ended 31st December 2018 and a statement of financial position as of that date.

Note: (Show all your workings)